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Lowe's Sales, Earnings Top Views

Home-improvement chain's growth follows strong report from rival Home Depot

By Anne Steele

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Lowe's Cos. raised its profit guidance for 2016 as its earnings in the latest quarter beat expectations. ASSOCIATED PRESS

Lowe's **LOW 0.63%** ▲ Cos. reported a strong earnings beat in the latest quarter and lifted its guidance for the year as the home-improvement retailer logged impressive growth in comparable sales.

Shares, which have risen 12% over the past three months, added another 2.3% premarket to \$77.80.

Lowe's results follows a strong report from bigger rival Home Depot this week. The home-improvement retailers have enjoyed rising sales while companies in other

corners of the retail sector struggle. Though Americans have curbed spending on things like apparel, they have been willing to shell out for refurbishing their dwellings amid favorable housing trends.

Home prices are rising, giving owners more confidence to spend on larger projects. More people are moving and starting new homes, and America's old housing stock means plenty of opportunities for other improvement projects.

In the latest quarter, Lowe's said "project expertise and commitment to customer service allowed us to capitalize on strong home-improvement demand during the quarter."

"We executed well in the quarter, growing both transaction and average ticket to achieve comparable sales growth that exceeded our expectations," said Chief Executive Robert Niblock

Sales at stores open at least a year climbed 7.3%. And U.S. same-store sales at Lowe's rose 7.5%, edging out Home Depot—whose U.S. same-store sales grew 7.4% in the quarter—for the first time in a decade.

In all, Lowe's posted a profit of \$884 million, or 98 cents a share, up from \$673 million, or 70 cents, a year earlier. The quarter's results were padded by \$160 million, or 11 cents a share, because of an unrealized gain on a foreign-currency hedge entered into ahead of the company's pending acquisition of Canadian home-improvement chain Rona Inc.

Revenue rose 7.8% to \$15.2 billion. Analysts polled by Thomson Reuters had projected 85 cents a share in adjusted earnings on \$14.87 billion in revenue.

For 2016, the company now expects earnings of about \$4.11 a share, up from previous guidance for \$4 a share. Lowe's backed its guidance for comparable-store sales to rise 4%.

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